

26STCP02291 26STCP02291

County: los-angeles

Division: Civil Law and Motion

Department: 407

Hearing date: 2026-09-15

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C407%2C09%2F15%2F2026

Source SHA-256: c1f0142d46df719a7cba8366048804f5661892748483c909f18a4dfef99f012f

Case Number: 26STCP02291 Hearing Date: September 15, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: September

15, 2026 TRIAL DATE: N/A

CASE: J.G. Wentworth

Originations, LLC v. Elijah

Rios

CASE NO.: 26STCP02291

VERIFIED

PETITION FOR APPROVAL FOR TRANSFER OF PAYMENT RIGHTS

MOVING PARTY: Petitioner

J.G. Wentworth Originations, LLC

RESPONDING PARTY: No opposition

I. INTRODUCTION

Payee, Elijah

Rios, received a structured settlement in 2021 arising out of a wrongful death

claim. Payee, now 23 years old, wishes

to use a portion of the proceeds from the settlement to make rent and car payments.

Petitioner, J.G. Wentworth Originations, LLC, now seeks approval of the transfer of a settlement payment right of \$75,000 due on April 4, 2043 by Payee to Petitioner and/or its assigns in exchange for \$12,000.

The petition is unopposed.

II. LEGAL STANDARD

This petition is governed by Insurance Code sections 10134–10139.5.[1] (See also 321 Henderson Receivables Origination LLC v. Sioteco (2009) 173 Cal.App.4th 1059, 1066.) Under Section 10137, a transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds the following conditions are met:

(a) The transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents.

(b) The transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5.

Pursuant to Section 10139.5, subdivision (a), the court must make the following express findings as to a transfer of structured settlement payment rights:

(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents.

(2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived that advice in writing.

(3) The Petitioner has complied with the notification requirements pursuant to Section 10139.5, subdivision (f)(2), and transferee has provided the payee with a disclosure form that complies with Section 10136 and the transfer agreement complies with sections 10136 and 10138.

(4) The transfer does not contravene any applicable statute or the order of any court or other government authority.

(5) The payee reasonably understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.

(6) The payee reasonably understands and does not wish to exercise the payee's right to cancel the transfer agreement.

The transfer agreement is effective only upon approval in a final court order. (§ 10139.5, subd. (a).)

When determining whether the proposed transfer should be approved, including whether the transfer is fair, reasonable, and in the payee's best interest, the court shall consider the totality of the circumstances, including, but not limited to:

(1) the reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level;

(2) the stated purpose of the transfer;

(3) the payee's financial and economic situation;

(4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments;

(5) whether the future periodic payments were intended to pay for future medical care of the payee related to the incident that was the subject of the settlement;

(6) whether the payee has other means of income or support sufficient to meet the payee's future financial obligations for support of payee's dependents, such as child support;

(7) whether there were previous transactions involving payee's structured settlement payments; and

(8) whether the payee and his or her dependents are facing a hardship situation.

(§ 10139.5, subd. (b).)

Procedurally, Section 10136, subdivision (b) provides that ten or more days before the payee executes a transfer agreement, the transferee shall provide the payee with a separate written disclosure statement, accurately completed with the information that applies to the transfer agreement in at least 12-point type. The court-approval process requires the transferee to file a petition in the county in which the transferor resides for approval of the transfer. (§ 10139.5, subd. (f)(1).)

Further, at the time of filing such a petition, the transferee shall file a copy of the petition with the California Attorney General. (§ 10139.) Lastly, the court shall retain continuing

jurisdiction to interpret and monitor the implementation of the transfer agreement as justice

requires. (§ 10139.5, subd. (i).)

III. DISCUSSION

A.

Section
10139.5(a)

Section 10139.5
provides that a direct or indirect transfer of structured settlement

payment rights is
not effective unless the transfer has been approved in a final court order
based

on certain express
written findings by the court. (§ 10139.5, subd. (a)(1)-(6).) Upon review of
the Petition, the court hereby makes the following findings:

a. That the
transfer is in the best interest of the Payee as contemplated under Section
10139.5, subd. (a)(1). (Rios Decl., ¶ 12.)

b. That under
Section 10139.5, subd. (a)(2), Payee has been advised in writing by Petitioner
to

seek independent
professional advice regarding the transfer and has either received that advice
or

knowingly waived
that advice in writing. (Rios Decl., ¶ 13; Petition, Exh. E.)

c. That under
Section 10139.5, subd. (a)(3), Petitioner has provided Payee with a disclosure
form

that complies with
Section 10136 and the transfer agreement complies with Section 10136 and

10138. (Petition,
Exh. B.)

d. That under
Section 10139.5, subd. (a)(4), the transfer does not contravene any applicable

statute or the
order of any court or any other government authority. (Petition, generally.)

B.
Section
10139.5(b)

When determining
whether the proposed transfer should be approved, including whether the transfer
is fair, reasonable, and in the payee's best interest, the court shall consider
the total the circumstances:

Here, Payee states

that he is 23 years old, unmarried, without children, and working part-time. (Rios Decl., ¶ 8.) He further states that he is experiencing

financial hardship. Approval of this Petition will allow him to pay past due rent and pay off his car, thereby reducing his monthly financial obligations and improve his overall financial situation. (Rios Decl., ¶ 12.)

Payee has initiated two prior transactions involving his structured settlement payments. (Id., ¶¶ 8, 9.)

C.

Section

10139.5(c)(1)

Petitioner

complies with the venue requirement under Section 10139.5, subdivision (c)(1), as Payee resides in the County of Los Angeles. (Rios Decl., ¶ 8.)

D.

Section

10139.5(f)(2)

The requirements

of Section 10139.5, subdivision (f)(2) and Petitioner's compliance therewith are listed below:

(A) A copy of the transferee's current and any prior petitions. (Petition, Section VI; Rios Decl., ¶¶ 8, 9.)

(B) A copy of the transfer agreement. (Petition, Amended Exh. A.)

(C) A listing of each of the Payee's dependents, together with each dependent's age. (Not applicable; see Rios Decl., ¶ 8.)

(D) A copy of the disclosure required in subdivision (b) of section 10136. (Petition, Exh. B.)

(E) A copy of the annuity contract. (Petition, Exh. C.)

(F) A copy of any
qualified assignment agreement. (Exh. C.)

(G) A copy of the
underlying structured settlement agreement. (Exh. D.)

(H) If a copy of a
document described in subparagraph (E), (F), or (G) is unavailable or cannot
be located, then
the transferee is not required to attach a copy of that document to the
petition or

notice of the
proposed transfer if the transferee satisfies the court that reasonable efforts
to locate and secure a copy of the document have been made, including making
inquiry with the payee. If the documents are available, but contain a
confidentiality or nondisclosure provision, then the transferee shall summarize
in the petition the payments due and owing to the payee, and, if requested by
the court, shall provide copies of the documents to the court at a scheduled
hearing. (Not applicable.)

(I) Proof of
service showing compliance with the notification requirements of this section.
(Filed

06/25/26.)

(J) Notification
that any interested party is entitled to support, oppose, or otherwise respond
to

the transferee's
petition, either in person or by counsel, by submitting written comments to the
court or by
participating in the hearing. (See Notice of Hearing, p. 2:8-10.)

(K) Notification

of the time and place of the hearing and notification of the manner in which
and

the time by which
written responses to the petition must be filed, which may not be less than 15

days after service
of the transferee's notice, in order to be considered by the court. (See Notice
of

Hearing, p. 2:11-14.)

E.

Why

this may not be in the best interests of Mr. Rios

The court observes
that this exchange results in an approximate 11.7% return on Petitioner's investment.
By any measure, this is a great investment by Petitioner. By accepting the
\$12,000 now, Mr. Rios is losing a significant amount of money in the future.

IV. CONCLUSION

Based on the
foregoing, the court is inclined to grant the petition. However, the court will
not do so without hearing directly from Mr. Rios at the hearing.

Petitioner to give notice.

Dated: September 15,
2026

Brock T. Hammond

Judge of the Superior Court

[1] All unspecified statutory references
hereinafter are to the Insurance Code.